Economic Forecasts

Sources: ABS, Reserve Bank of Australia and Australian Government Budget Forecasts 2019-20.

	LATEST	*FORECAST*	*COMMENT*
Real GDP Growth % change trend terms	0.5% December Quarter 2019	2.75% Year ended 2019-20	Real GDP grew by 0.5% in the December quarter 2019 and was below trend at 2.2% over the year in seasonally adjusted terms. Household final consumption expenditure increased by 0.4%, driven by consumption of discretionary goods and services. Dwelling investment recorded its fifth consecutive decline with a fall of -4.1% and -12.2% through the year. The household saving ratio fell to 3.6%, because of a fall in gross disposable income. Non mining business investment fell by -3.6% in the December quarter 2019 but mining investment rose by 0.5%, the first rise since September 2017. The economy is expected to contract in the March quarter 2020 because of the Covid-19 pandemic and enter a recession.
Inflation (CPI) % change	0.3% March Quarter 2020	2.25% Year ended 2019-20	Headline inflation rose by 0.3% in the March quarter 2020 and by 2.2% in year ended terms. There were price rises for vegetables (+9.1%), tobacco (+2%), secondary education (+3.4%) and pharmaceutical products (+5.1%). Price falls included automotive fuel (-6%), domestic holiday, travel & accommodation (-3.1%) and int. holiday, travel and accomm. (-3%).
Unemployment (seasonally adjusted - sa) % of workforce	6.2% April 2020	5.00% 2019-20 Yearly	The unemployment rate rose by 1% to 6.2% in April 2020. Employment fell by 594,300 to 12,418,700 people. Unemployment increased by 104,500 to 823,300 people. The underemployment rate rose to 13.7% and the underutilisation rate to 19.9%. The participation rate decreased to 63.5%. The Covid-19 pandemic is devastating the labour market.
Wages (ABS's Wage Price Index or WPI) % change	0.5% March Quarter 2020	2.75% 2019-20 Yearly Growth	The WPI increased by 0.5% in the March quarter 2020 and was 2.1% higher over the year. Modest wages growth reflects spare capacity in the labour market. The Fair Work Commission's 3% increase in the NMW in June 2019 helped to support wages growth.
Current Account Deficit % of GDP	-$A13.6b 2018-19 -0.9%	-A$49.9b 2019-20 -2.75%	The current account deficit fell to -$13.6b (-0.9% of GDP) in 2018-19, with a record surplus of $48.7b in the goods and services balance. The net primary income deficit of -$61.6b was relatively stable. The financial account surplus was lower at $22.8b.
Interest Rates			The Reserve Bank cut the cash rate to 0.25% on March 20th 2020 to support the economy as the coronavirus pandemic started to impact on growth and employment. In addition the RBA announced a target yield of 0.25% on 3 year Aust. government bonds.
• official cash rate	0.25% May 2020	0.25% May 2020	
• 90 day bill rate	0.17%	0.17%	
Exchange Rates			The AUD depreciated to US$0.55 in March 2020 with the impact of the coronavirus on the foreign exchange market. It stabilised to US$0.64 in May 2020, helping to improve competitiveness.
• USD/AUD	0.64 May 2020	0.63 June 2020	